

Samvardhana Motherson International Ltd

MOTHERSON

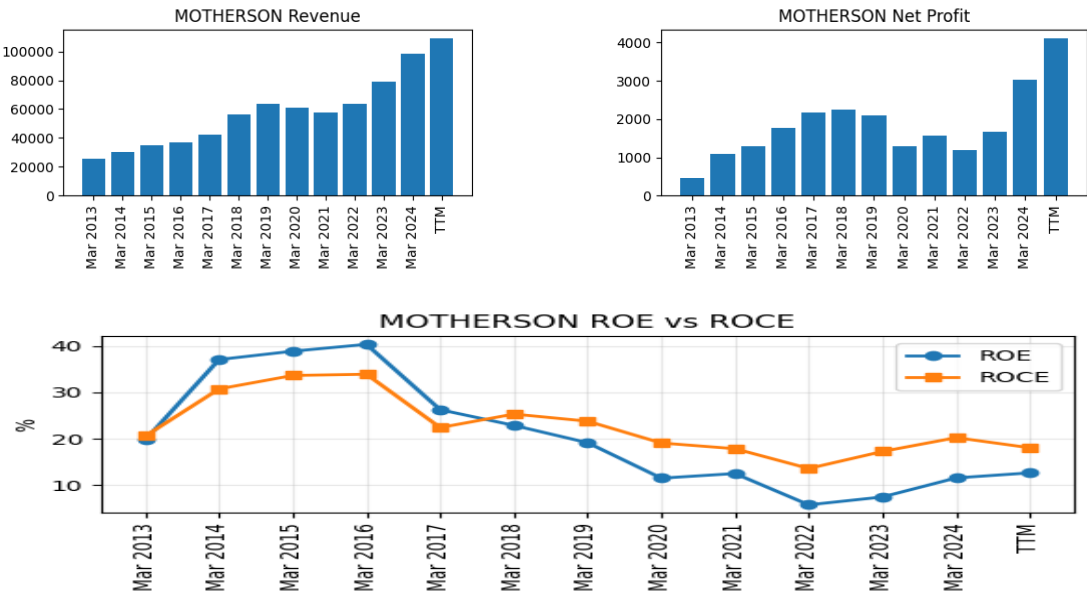
Key Financial Metrics

ROE 12.63%	ROCE 18.04%	Debt / Equity 0.78
Revenue CAGR 13.17%	FCF Conversion 250.63%	Quality Score 43.83

Company Profile

Company	Samvardhana Motherson International Ltd
Sector	Consumer Discretionary
Industry	Auto Ancillaries
Market Cap (■ Cr)	146,151.16
P/E Ratio	9.54
P/B Ratio	2.38
Dividend Yield	2.18%

Financial Performance



AI Investment Summary

Samvardhana Motherson International Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, steady revenue growth, high quality cash-flow quality and manageable leverage. The overall financial quality score is 43.8/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Weak operating margins suggest limited pricing power and lower cash generation.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals.	• Weak operating margins suggest limited pricing power and lower cash generation. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

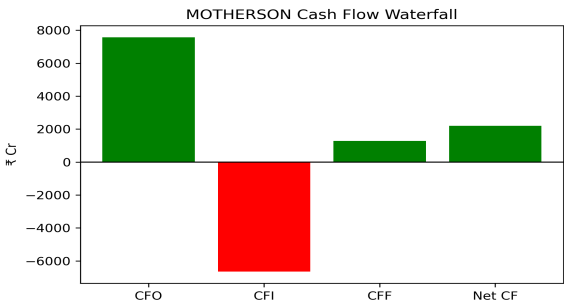
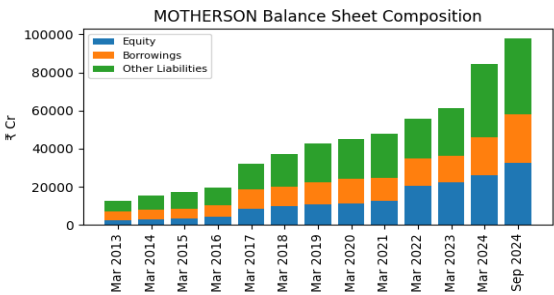
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 43.8/100, supported by 3 identified strengths, 2 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 43.8

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong

Cash Flow	Strong
Leverage	Moderate
Valuation	Cheap

Capital Allocation

Mixed